

Credicorp Ltd. (BAP)

Quartr-Enhanced Investment Analysis

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Market Cap: ~\$25.6B USD | NYSE: BAP

GICS: Diversified Banks | Peru

Synthesis

Credicorp is one of the highest-quality financial franchises in emerging markets, and the primary-source evidence from Quartr transcripts and strategic documents reinforces this assessment while surfacing several tensions that web research alone would not reveal. The first and most important thing an investor needs to understand is that Credicorp's competitive position in Peru is structurally entrenched and widening. BCP commands approximately 36% of system assets and 46% of industry profits, but the real moat is the low-cost deposit franchise - 61% of total funding - which translates into a NIM of 6.3% that competitors cannot replicate without decades of retail banking infrastructure. Yape, with 15.9 million monthly active users in a country of 34 million, is not a fintech experiment but a national payments infrastructure that processes six times more transactions than its nearest rival. The Investor Day 2025 materials reveal that Yape's revenue per MAU has tripled since early 2023 and lending now constitutes 23% of platform revenue, up from 13% just four quarters earlier. This trajectory - visible only through sequential transcript analysis - suggests Yape is transitioning from a customer acquisition tool to a genuine profit centre faster than the market appreciates. Second, the financial profile is genuinely distinctive. FY2025 ROE of 19.0% was achieved across four business lines each earning above cost of equity - BCP at 24.7%, Mibanco in the low 20s, Grupo Pacifico at 21.4%, and Investment Management at 16.4%. This diversification of high-return businesses within a single holding company is rare in Latin American banking. The risk-adjusted NIM of 5.55% confirms that returns are not being purchased through excessive credit risk. Net income

compounded at approximately 18% annually over three years (S/4,745M in FY2022 to S/6,925M in FY2025), a pace that few financial institutions globally can match.

Third, and this is where the primary sources add genuine insight, the earnings call transcripts reveal a management team that systematically under-promises and over-delivers. Initial FY2025 ROE guidance was set at approximately 17.5%, raised at least twice during the year, and delivered at 19.0%. The medium-term ROE target was upgraded from approximately 18% to 19.5% at the Q2 2025 call. CEO Gianfranco Ferrari, a 30-year Credicorp veteran, communicates with precision and consistency. The Investor Day 2025 materials show a sophisticated strategic framework - innovation portfolio guardrails capped at 150bps ROE drag and 350bps efficiency drag - that demonstrates capital allocation discipline unusual for a family-controlled conglomerate.

However, the analysis surfaces several important tensions. The red flags agent identified the SUNAT tax dispute (PEN 1.6 billion) as a material contingent liability that management addresses with unwavering confidence across four consecutive calls - a consistency that either reflects genuine legal strength or rehearsed messaging designed to prevent provisioning that would materially reduce reported earnings. The Bermuda incorporation, the Romero family's historical political contribution scandal (\$3.65 million to Keiko Fujimori's campaign), and the Sartor factoring debacle in Chile collectively paint a governance picture with genuine vulnerabilities beneath the polished surface. The strategic documents analysis notes a conspicuous silence on Peru concentration risk (over 80% of earnings) and political risk in materials otherwise characterised by analytical rigour.

The efficiency ratio gap is the central tension between narrative and reality. At 46.6% in FY2025 against a medium-term target of 42%, management's roadmap relies on innovation portfolio breakeven and IT operating leverage. The strategic documents reveal that IT opex as a percentage of operating income has risen from 3.8% in 2017 to approximately 8.4% in 2025, while cost per transaction collapsed 93%. The question is whether the technology investment cycle genuinely crests - Tenpo has consumed \$200-250 million with breakeven not expected until 2028, and the innovation portfolio keeps generating new ventures. The 19% ROE is being achieved through revenue growth and NIM expansion rather than cost discipline, a distinction that matters if margins compress.

The key open questions are: (1) Can Yape's nano-lending book maintain quality at scale, particularly through a downturn? Management has not been tested on this. (2) Will the SUNAT dispute resolve favourably, or does it represent a structural risk of operating as Peru's largest taxpayer? (3) Does the Romero family succession to fifth-generation leadership (Manuel Romero Valdez) introduce execution risk or represent continuity? (4) Is the efficiency ratio target of 42% achievable, or will perpetual innovation spending prevent convergence?

Overall, Credicorp is a high-quality business trading at approximately 11x forward earnings with a 4% dividend yield, earning 19%+ ROE with a credible path to continued compound growth through Peru's structural under-penetration (35% loan-to-GDP versus 88% in Chile). The 30-year annualised total shareholder return of over 14% speaks for itself. The primary risks are country-specific rather than business-model-specific: Peru's political volatility, commodity dependence, and regulatory unpredictability. At current valuations, the market appears to adequately discount these risks while leaving meaningful upside if Peru's macro trajectory remains constructive and Yape's monetisation accelerates.

For further research, prioritise: reading the full Investor Day 2025 transcript (Quartr documentId

2174238) for management's unscripted Q&A responses on competitive positioning and capital allocation; the FY2024 20-F annual report (documentId 1904614) risk factors section for regulatory detail; and the Q4 2025 transcript Q&A section for the most current management commentary on SUNAT, Helm Bank integration, and 2026 election preparedness.

1. Business History

Credicorp Ltd. (NYSE: BAP) is not merely Peru's largest financial conglomerate - it is the institutional embodiment of over 135 years of Peruvian commercial banking history, shaped by immigrant enterprise, family stewardship, political upheaval, and a relentless drive toward financial inclusion that now manifests as one of Latin America's most ambitious digital transformation stories. The origin of Credicorp traces back to April 9, 1889, when a group of Italian-Peruvian businessmen founded the Banco Italiano in a modest rented space on Mantas Street in Lima, previously home to the defunct Banco de Lima. The institution opened with just five employees, serving the commercial needs of a growing Peruvian economy and the Italian immigrant community that was becoming woven into Lima's business fabric. For over half a century, the Banco Italiano grew alongside Peru's modernizing economy, establishing itself as a trusted commercial bank. A decisive turning point arrived in 1941, when the Romero family - led by patriarch Dionisio Romero Seminario - acquired the bank. In January 1942, compelled by a new Peruvian law prohibiting banks from carrying foreign national references in their names, the institution was renamed Banco de Credito del Peru (BCP). This was more than a rebranding; it marked the beginning of what would become a multi-generational family dynasty at the helm of Peru's financial system. Dionisio Romero served as chairman of BCP from 1966 to 1987, and then as chairman of Credicorp from its founding in 1995 until 2009, when leadership passed to the next generation under Dionisio Romero Paoletti. The most traumatic inflection point in the bank's history came in July 1987, when President Alan Garcia announced his intention to nationalize Peru's private banks during his address to the nation, arguing it was necessary to "democratize" credit. The Romero family employed a creative and audacious defense: Dionisio Romero transferred BCP's shares to its 4,500 employees through a commitment-to-repurchase arrangement, effectively making the workers shareholders and legally shielding the bank from state seizure. The nationalization attempt ultimately failed in Congress, partly due to the fierce opposition movement it provoked - led prominently by the novelist Mario Vargas Llosa - but the experience left an indelible mark on the Romero family's corporate philosophy: a deep commitment to structural resilience, political independence, and the construction of holding structures that would insulate their enterprises from sovereign risk. That instinct for structural protection gave birth to Credicorp Ltd. itself. On May 23, 1995, the Romero Group incorporated Credicorp as a Bermuda-exempted holding company, consolidating majority stakes in three pillars: BCP (90.1%), Atlantic Security Holding Corporation (98.2%), and Pacifico Compania de Seguros y Reaseguros (75.8%). The Bermuda incorporation was deliberate - it provided a tax-efficient, internationally credible legal domicile that separated the holding company from the political vicissitudes of any single Andean jurisdiction. Credicorp immediately listed on the New York Stock Exchange, giving the group access to global capital markets and subjecting it to SEC

disclosure standards that would reinforce governance discipline. From the outset, the holding was designed not as a passive parent but as an active allocator of capital across banking, insurance, and wealth management.

The decade following incorporation saw Credicorp systematically fill gaps in Peru's financial ecosystem. In 2005, the group founded Prima AFP, entering the private pension fund management business that had been established in Peru since the early 1990s. Prima AFP began operations in August 2005 as the fifth AFP in the Peruvian market, and its entry disrupted the sector by forcing competitors to lower fees. This greenfield approach reflected a consistent element of Credicorp's DNA: when the group identifies an underserved segment, it prefers to build purpose-built subsidiaries rather than overpay for legacy platforms.

The microfinance expansion represented a different strategy - one driven by acquisition. In October 2009, BCP acquired a 77% stake in Financiera Edyficar through the NGO CARE Peru, gaining a foothold in micro and small business lending. Then in 2014, Credicorp acquired Mibanco, Peru's leading microfinance bank, and merged Edyficar's operations into it. The executive who led both the Edyficar and Mibanco acquisitions also spearheaded Credicorp's digital transformation strategy beginning in 2015, illustrating how the group's leadership pipeline directly connects its microfinance and digital ambitions. The logic was clear: Peru's vast informal economy, where millions of micro-entrepreneurs operate outside the traditional banking system, represented both a social imperative and a massive addressable market. By 2024, the Microfinance line of business operated through both Mibanco Peru and Mibanco Colombia (the latter formed through the 2019 acquisition and rebranding of Banco Compartir S.A.).

In 2012, Credicorp formalized its investment banking and asset management ambitions by creating Credicorp Capital Ltd., consolidating previously scattered brokerage operations in Peru (formerly BCP Capital and Credibolsa), Colombia (formerly Correval S.A.), and Chile into a pan-Andean platform.

This gave the group a fourth line of business alongside universal banking, microfinance, and insurance and pensions, completing the conglomerate architecture that persists today.

The most consequential recent chapter in Credicorp's history has been its digital transformation, anchored by the Yape mobile payments platform. Launched by BCP in 2016 as a simple peer-to-peer payment tool, Yape has evolved into what management envisions as Peru's first "superapp." By mid-2025, Yape had surpassed 15 million monthly active users - roughly 75% of Peru's workforce - processing six times the transaction volume of its nearest competitor PLIN and achieving breakeven faster than projected. The platform expanded into Bolivia and added consumer lending with ultra-short-tenor loans (average duration of approximately one month, versus 13 months at Mibanco), merchant payments, and a growing ecosystem of financial services. Credicorp's innovation arm, Krealo - founded in 2018 as the group's corporate venture capital unit - incubated additional fintech ventures including Culqi (payment processing, later transferred to BCP), Tyba (digital wealth management in Colombia and Peru, reaching approximately \$1.5 billion in assets under administration by end of 2025), and Tenpo in Chile. In January 2026, Tenpo became Chile's first licensed neobank under the country's General Banking Law, authorized to offer checking accounts, consumer loans, and term deposits - marking Credicorp's first regulated banking footprint outside of the Andean corridor. On the insurance front, Credicorp deepened its commitment in 2014 when Pacifico Seguros formed a joint venture with Chile's Empresas Banmedica for private medical insurance and healthcare services

in Peru. In March 2025, Credicorp acquired the remaining 50% stake in that joint venture, fully consolidating its healthcare insurance operations. And in December 2025, BCP signed a \$180 million agreement to acquire 100% of Helm Bank USA, a Florida-based community bank with \$1.1 billion in assets serving Latin American clients with U.S. real estate and cross-border banking needs - representing the group's first direct entry into the U.S. regulated banking market. Throughout these transformations, certain elements of Credicorp's cultural DNA have remained remarkably constant. The Romero family continues to hold approximately 12% of Credicorp's shares directly, with Atlantic Security Holding Corporation holding another 15.5%, making the founding family the controlling force behind a now roughly \$25.6 billion market capitalization enterprise. The group's commitment to operating through purpose-built subsidiaries rather than generic divisions, its preference for gradual geographic expansion within the Andean and Latin American corridor, and its willingness to invest in financial inclusion as both a social mission and a growth strategy have defined every major strategic decision from 1995 to the present. BCP Stand-alone still represents 76.1% of Credicorp's total assets as of year-end 2024, underscoring that universal banking in Peru remains the gravitational center of the conglomerate even as digital platforms, Chilean neobanking, and U.S. cross-border banking open new growth vectors. What began as a five-employee Italian bank on a Lima side street in 1889 has become the most comprehensive financial services franchise in Peru, and increasingly, a digital-first platform reshaping financial access across Latin America.

2. Management & Incentives

Credicorp's leadership structure reflects a deliberate blend of controlling-family oversight and professional management depth that is rare among Latin American financial conglomerates. The Romero family, which traces its commercial roots to the 1880s and acquired Banco Italiano (later renamed Banco de Credito del Peru, or BCP) in 1941, retains approximately 15% of Credicorp's equity, a stake valued at roughly \$3.8 billion at the current market capitalization. Luis Enrique Romero Belismelis has served as executive chairman since mid-2020, succeeding his cousin Dionisio Romero Paoletti, who stepped down from the chairmanship and retired from the family business at the end of 2025. The generational transition is proceeding in an orderly fashion: Manuel Romero Valdez has been nominated to the board for the March 2026 AGM, ensuring continuity of the family's representation as the fourth generation takes its seat. This scale of insider ownership - roughly \$3.8 billion in economic exposure - provides meaningful skin in the game, aligning the controlling shareholders' interests tightly with public minority holders. The professional management team is led by CEO Gianfranco Ferrari de las Casas, a 30-year Credicorp veteran who took the helm in January 2022 after serving as CEO of BCP from 2018 to 2021. Ferrari holds an MBA from Northwestern University's Kellogg School of Management and an undergraduate degree in Business Administration from Universidad del Pacifico. His track record is credible and quantifiable: he led BCP's acquisition of Edyficar in 2009 and Mibanco in 2014, two transactions that fundamentally reshaped Credicorp's microfinance franchise, and he spearheaded BCP's digital transformation starting in 2015, which ultimately produced Yape, now a platform with

nearly 16 million monthly active users. When Ferrari assumed the group CEO role, he set a public target of approximately 18% ROE by 2025. The company delivered 19.0% for the full year, and posted a record 20.7% in Q2 2025, prompting management to raise its long-term sustainable ROE target to 19.5%. This pattern of setting conservative targets and then exceeding them is a hallmark of the current leadership.

CFO Alejandro Perez-Reyes Zarak, appointed in July 2024, brings 25 years of internal experience spanning derivatives, asset management (overseeing \$10 billion at Prima AFP), and the COO role at Credicorp Capital and later at the holding company itself. He holds an MBA from Harvard Business School. Perez-Reyes has proven an articulate and data-driven communicator on earnings calls, providing granular quarter-over-quarter operating trends while maintaining clear forward guidance. Other key executives include Francesca Raffo, Chief Innovation Officer, who has been integral to the innovation portfolio strategy since Ferrari's first Investor Day in 2022; Cesar Rios as Chief Risk Officer; Diego Caverio as BCP CEO (Head of Universal Banking); and Eduardo Montero, who became CEO of Pacifico insurance effective January 2026 as part of a broader subsidiary leadership rotation. That rotation also installed Galantino Gallo Quiroz as CEO of Credicorp Capital and Sergio Velez Montes as CEO of Prima AFP - moves that signal a deliberate bench-building philosophy and internal succession pipeline rather than reliance on external hires.

On compensation, direct public disclosure is limited - Credicorp is a Bermuda-domiciled holding company filing a 20-F rather than a proxy statement, which reduces granularity compared to U.S. domestic issuers. However, Ferrari provided meaningful color at Credicorp's Investor Day, revealing a differentiated incentive architecture. Innovation leaders such as Raimundo Morales (who runs Yape-related ventures) and Adolfo (overseeing venture-capital-style investments) operate under compensation plans modeled on startup equity and VC carry structures, respectively, which differ materially from the traditional executive packages that Ferrari, Perez-Reyes, and Raffo receive. Ferrari described this openly, noting that "we have several different incentive programs at Credicorp depending on what company you work for, what role you play," and that innovation leaders have "a compensation plan very similar to the ones that if they were operating in a start-up." This design is intelligent: it avoids the common conglomerate problem of compensating entrepreneurs with bureaucratic pay scales, and it signals management's willingness to share upside on disruptive ventures, which now contribute 8.1% of risk-adjusted revenues against a 10% target for 2026. Capital allocation discipline is arguably the strongest signal of management quality. Credicorp's stated policy is straightforward: subsidiaries retain capital needed to sustain growth (CET1 floors of 11% at BCP and 14.5% at Mibanco), and everything above those thresholds flows up as dividends to the holding company, which in turn distributes excess capital to shareholders unless it identifies compelling reinvestment opportunities. The dividend payout ratio reached approximately 75% of profits for the most recent period, with the ordinary dividend at S/40 per share for FY2024 and a clear commitment to annual increases plus potential extraordinary dividends. The \$180 million Helm Bank Florida acquisition - fully cash-funded and small relative to the group's balance sheet - exemplifies disciplined bolt-on M&A rather than empire-building: it fills a specific gap in cross-border transactional banking for Latin American clients migrating assets to the U.S.

The board is undergoing thoughtful refreshment. Three new director nominees for the 2026 AGM bring expertise in technology and AI oversight (Maria Ines Alvarez), financial governance (Juan Paredes

Manrique), and strategic execution (Manuel Romero Valdez), replacing three retiring directors. Women continue to represent one-third of the board. The refreshment process was described as "structured" and "skills-based," designed to support Credicorp's evolving digital strategy and risk profile. Six directors are being proposed for re-election, including the chairman Romero Belismelis and veteran director Raimundo Morales Dasso, providing continuity. One area warranting investor attention is the relatively limited disclosure on executive compensation quantum. While the differentiated incentive structure is philosophically sound, the absence of detailed proxy-level data on individual pay, equity grants, and performance hurdles means investors must rely on management's credibility rather than verifiable data. That said, the Romero family's multi-billion-dollar economic interest, the management team's deep tenure (Ferrari at 30 years, Perez-Reyes at 25-plus), and the consistent pattern of meeting or exceeding publicly stated targets collectively provide strong indirect evidence of aligned incentives. Credicorp's management bench is deep, its succession planning is active and visible, and its capital allocation framework is shareholder-friendly without being recklessly generous - a combination that merits a favorable assessment from a governance perspective.

3. Competitive Landscape

Peru's banking industry is a tightly concentrated oligopoly in which the four largest private banks - BCP, BBVA Peru, Interbank, and Scotiabank Peru - collectively control more than 80% of total credit and deposits. Within this structure, Credicorp's flagship subsidiary BCP occupies a commanding position, holding approximately 36% of system assets as of December 2024, nearly double the share of its closest rival BBVA Peru at 20.5%, with Interbank and Scotiabank trailing at roughly 13.5% and 13.0% respectively. This dominance is not merely a function of scale; it reflects a decades-long accumulation of structural advantages that have proven exceedingly difficult for competitors to replicate. In 2025, the four banks captured 83% of the system's record S/14 billion in profits, with BCP alone accounting for 46% of total industry earnings - a share substantially higher than its already leading asset position, reflecting superior operating leverage. The most durable source of Credicorp's competitive advantage lies in its low-cost deposit franchise. As of Q4 2025, low-cost deposits (demand and savings accounts) constituted 61.4% of BCP's total funding base, and Credicorp held a 40.7% market share in system-wide low-cost deposits. Management has explicitly identified this as a "very strong competitive advantage," particularly in higher interest rate environments where the spread between low-cost and market-rate funding translates directly into margin superiority. This funding edge is self-reinforcing: BCP's extensive branch network, dominant payroll processing relationships, and now Yape's 15.9 million monthly active users create persistent inflows of transactional deposits that competitors cannot easily divert. The resulting NIM of 6.3% for FY2025, paired with a risk-adjusted NIM of 5.3%, meaningfully exceeds what the second- and third-tier banks can achieve, as confirmed by management's characterization of pricing and risk management capabilities as "becoming a competitive edge" during the Q4 2025 call. Yape represents perhaps the most consequential strategic asset in the Peruvian financial services landscape. With 15.9 million MAU - equivalent to approximately 82% of Peru's economically active

population - Yape has achieved a level of network penetration that makes it the de facto digital payments infrastructure of the country. It processes six times more transactions than Plin, the rival digital wallet jointly operated by BBVA, Interbank, and Scotiabank, despite regulators mandating interoperability between the two platforms in 2023. Yape's competitive moat is deepening through three concurrent monetization vectors: payments (52% of platform revenue), lending (23% and growing rapidly, with 4.1 million clients having received disbursements by December 2025), and e-commerce (where Yape ranks as the number one platform by GMV in Peru). Revenue per MAU has tripled since early 2023, and Yape doubled its year-over-year contribution to Credicorp's risk-adjusted revenue, reaching 7.2% by Q4 2025. Management has set an ambition to multiply Yape revenues by three times by 2028, targeting 18 million MAU and over 5 million disbursed lending clients. The platform's 661 monthly transactions per user indicate deeply embedded daily usage rather than superficial adoption, creating switching costs that pure-play fintechs would struggle to overcome. The competitive threat from traditional bank rivals is manageable but real. BBVA Peru, backed by its Spanish parent, remains a formidable wholesale and retail lender with strong corporate banking relationships and an ROE around 20% in Q3 2025. Interbank, owned by the InterCorp group, has carved out a successful retail niche with competitive consumer lending and insurance cross-selling. Scotiabank Peru, however, has struggled relative to peers, with profits declining 25% on higher provisions and weaker interest income, raising questions about the long-term commitment of its Canadian parent to the market. None of these competitors possesses a digital ecosystem comparable to Yape, nor do they individually match BCP's breadth across wholesale, retail, microfinance, insurance, and investment management. Mibanco, Credicorp's microfinance subsidiary, adds another layer of competitive insulation. As the leader in Peru's microfinance sector by assets, Mibanco serves a segment that remains structurally underserved by traditional banks and is characterized by high barriers to entry due to the specialized risk assessment and relationship-intensive origination required. Mibanco's ROE recovered to 20.0% in Q4 2025, supported by NIM expansion to above 15% and improving asset quality, with NPLs falling from 7.4% in late 2022 to 5.3% by Q4 2025. The segment's double-digit loan growth reflects genuine competitive advantage in underwriting for informal and semi-formal borrowers, a capability that is exceedingly difficult to build from scratch. Beyond Peru, Credicorp is methodically extending its competitive reach. Tenpo, having secured Chile's first fully licensed neobank charter, represents an optionality play in a market with far higher banking penetration but less digital disruption than Peru, with 2.5 million clients already acquired. The announced acquisition of Helm Bank USA for \$180 million provides a licensed banking platform in Florida to serve cross-border Latin American wealth clients, complementing the existing Credicorp Capital and ASB Bank operations. These international initiatives, while still small relative to the Peruvian core, illustrate management's recognition that durable competitive positioning requires geographic diversification before the domestic opportunity set matures. The principal disruptive threats are regulatory and technological. Peru's Congress has demonstrated increasing populist tendencies, with proposed legislation on interchange fees creating uncertainty around payment economics. Mandated interoperability, while already implemented, could eventually erode Yape's network advantages if regulators push toward full commoditization of payment rails. International fintech entrants and platform companies (such as MercadoLibre or Rappi) could leverage

their own user bases to compete in lending and payments, though none has yet achieved meaningful share in Peru's core banking products. Credicorp's response - investing aggressively in innovation (with disruption-related operating expenses growing 12% year-over-year and the innovation portfolio targeting 10% of risk-adjusted revenue by 2026) while maintaining disciplined efficiency ratios around 46-47% - reflects a self-disruption strategy designed to prevent the organizational complacency that often accompanies dominant market positions. The company's 30-year annualized total shareholder return above 14% suggests this strategy of measured aggression within a structurally favorable oligopoly has been, and remains, highly effective.

4. Financial Characteristics

Credicorp's financial profile is defined by a rare combination for a Latin American financial conglomerate: consistently high returns on equity, structural funding advantages rooted in deposit dominance, and a diversified revenue model that spans universal banking, microfinance, insurance, and investment management. The company's FY2025 results crystallize a multi-year trajectory of improving profitability, with net income attributable to Credicorp reaching S/6,925 million from continuing operations (S/7,083 million including the Banmedica disposal gain), producing an ROE of 19.0% on a consolidated equity base that grew to approximately S/36.5 billion. This represents a decisive step-up from S/5,623 million in FY2024 and S/4,960 million in FY2023, reflecting a compound annual growth rate in earnings of roughly 18% over the three-year period. Total revenues climbed to S/22,897 million in FY2025, an 8.3% increase year-over-year, while net interest income - the dominant revenue driver - reached S/14,716 million, underscoring that approximately 64% of group revenues flow from spread-based lending activity. The revenue model's composition by segment is a distinguishing characteristic. BCP Universal Banking is the primary earnings engine, delivering an ROE of 24.7% in FY2025 - a figure that comfortably exceeds most large-cap Latin American bank peers. Mibanco, the microfinance subsidiary, contributes ROEs in the low 20s, which is notable given the inherently higher cost-to-serve and credit risk in micro and small enterprise lending. Grupo Pacifico's insurance operations posted a 21.4% ROE, while the Investment Management and Advisory segment generated a 16.4% return. This segment-level profitability dispersion means that even the weakest-returning business line comfortably exceeds cost of equity, a structural rarity in diversified financial groups where insurance or asset management arms frequently dilute consolidated returns. Margins at Credicorp stand out in peer context. The full-year NIM of 6.3% (reaching 6.62% in Q4 2025) is substantially above Banco de Chile's 4.6% and competitive with Bancolombia's adjusted 6.5%, though below Itau Unibanco's 8.9% - a differential largely explained by Brazil's structurally higher interest rate environment and Itau's heavier consumer credit mix. Credicorp's risk-adjusted NIM of 5.55% is the more meaningful metric for comparing underlying lending economics, and it reflects the company's disciplined credit underwriting even as the NPL ratio reached 4.5% with a coverage ratio of 112.4%. The cost of risk at 1.8% in Q4 2025, guided to 1.7-2.1% for FY2026, sits within a manageable band. The efficiency ratio of 46.6% represents solid operational discipline, though it lags Banco de

Chile's approximately 39% level, partly reflecting the cost intensity of Mibanco's branch-heavy microfinance distribution model. Guidance for FY2026 targets further improvement to 45-46.5%. The return on average assets of 2.9% recorded in Q2 2025 (a record quarter with 20.7% ROE) is exceptionally high for a banking conglomerate of this scale, given a total asset base of S/267,363 million (approximately \$70 billion). To contextualize the 19.0% consolidated ROE: Itau Unibanco delivered 24.4% ROE in FY2025, but operates at significantly greater scale with different risk and rate dynamics; Bancolombia produced an adjusted 17.2% ROE (9.1% reported, distorted by the Banistmo impairment); and Banco de Chile generated 21.9%. Credicorp therefore ranks in the upper tier of LatAm financial conglomerate profitability, with the added distinction that its returns are generated across four business lines rather than concentrated in a single banking franchise. Balance sheet strength is a defining feature. Total assets grew from S/236,754 million in FY2022 to S/267,363 million in FY2025, a measured 4.1% CAGR that reflects disciplined growth rather than aggressive balance sheet expansion. The CET1 ratio of 14.0% at the consolidated level (BCP at 13.99%, Mibanco at 17.30%) provides substantial capital buffers above regulatory minimums, positioning the group to absorb cyclical stress without constraining dividend capacity or growth. Low-cost deposits represent 61% of total funding, a structural advantage that suppresses funding costs and insulates margins during rate-tightening cycles. This deposit franchise - built on BCP's dominant retail banking position in Peru with the largest branch and digital banking network - is arguably the single most important competitive moat in the financial profile. Capital allocation reflects a balance between reinvestment and shareholder returns. FY2025 dividends paid totaled S/3,181 million, implying a payout ratio of approximately 45% on net income from continuing operations. The effective tax rate of 28.8% is consistent across recent years (27.6% in FY2023, 28.2% in FY2024), providing predictability in after-tax earnings conversion. Net interest income growth of 5.8% year-over-year, combined with fee income growth of 5.2% quarter-over-quarter in Q4 and guided low-double-digit fee growth for FY2026, signals that the non-interest revenue diversification effort is gaining traction. Cyclicity is the primary structural risk embedded in the financial profile. Credicorp derives the vast majority of its earnings from Peru, an economy exposed to commodity price fluctuations, political volatility, and natural disasters. The FY2025 annual report explicitly identifies these macroeconomic dependencies, along with growing exposure to Bolivian currency risk and Colombia's fiscal uncertainty through BCP Bolivia and Mibanco Colombia respectively. The cost of risk band of 1.7-2.1% guided for FY2026 acknowledges this cyclical sensitivity. Loan growth guidance of 8.5% for FY2026, paired with NIM guidance of 6.4-6.7% and an ROE target of approximately 19.5%, suggests management expects to sustain the current high-return operating model through a combination of measured credit expansion and continued efficiency gains. The operating income progression from S/6,848 million in FY2023 to S/9,948 million in FY2025 - a 45% increase in two years - demonstrates the significant operating leverage inherent in the franchise as revenues scale against a cost base that grows more slowly. What is genuinely distinctive about Credicorp's financial profile versus peers is the simultaneity of high returns, diversified revenue streams, conservative capital ratios, and a dominant low-cost deposit franchise, all operating within a single-country concentration that simultaneously serves as both the primary risk factor and the source of its competitive entrenchment in Peru's financial system.

5. Red Flags

Credicorp presents itself as a well-oiled Peruvian financial conglomerate generating attractive returns, but beneath the polished investor presentations lies a thicket of governance, legal, operational, and political risks that deserve far more scrutiny than the market appears to be giving them. The most immediate and material red flag is the SUNAT tax dispute. Peru's tax authority issued resolutions totaling approximately PEN 1.6 billion (roughly USD 430 million) against Credicorp's subsidiary Grupo Credito S.A. for share transactions conducted in 2018 and 2019, in which Grupo Credito purchased Banco de Credito del Peru shares from Credicorp Ltd. through the Lima Stock Exchange. Management professes confidence in a favorable legal resolution, noting that SUNAT's own Review Committee had previously cleared the transactions. While the resolutions were technically cancelled in August 2025, Credicorp itself paid the full amount and continues to litigate. The fact that Peru's largest taxpayer is locked in a billion-dollar fight with its own country's tax authority is not a minor footnote - it signals either genuine legal vulnerability or a regulatory environment willing to retroactively challenge previously approved transactions. Either interpretation should concern investors. If SUNAT ultimately prevails in any future proceeding or re-assessment, the capital impact would be severe.

The governance architecture itself warrants deep suspicion. Credicorp is incorporated in Bermuda, a jurisdiction chosen explicitly for its favorable tax treatment and limited shareholder protections. Bermuda offers no mandatory class-action litigation framework, no robust minority shareholder protections comparable to Delaware, and limited disclosure requirements outside what the SEC demands through the 20-F filing. This is not a neutral structural choice - it is a deliberate shield. The controlling Romero family maintains dominant influence over the conglomerate, and the Bermuda incorporation insulates them from the kinds of derivative lawsuits and governance challenges that might otherwise be available to minority shareholders. Investors buying BAP on the NYSE should understand that they are purchasing shares in a Bermuda entity with a fundamentally different legal relationship to its shareholders than a typical U.S.-listed company.

The political contribution scandal remains an unresolved governance stain. Credicorp's former chairman Dionisio Romero Paoletti admitted to withdrawing USD 3.65 million in cash from Banco de Credito's vault across 17 transactions between 2010 and 2011, delivering the funds directly to Keiko Fujimori's presidential campaign - contributions that exceeded legal limits. The company was fined by Peru's securities market regulator (SMV), and the Supreme Court upheld the sanction in late 2025. While Credicorp argues the law at the time sanctioned only recipients and not contributors, the episode reveals a corporate culture in which the controlling family could extract millions in cash from the banking subsidiary for political purposes with apparently no internal controls preventing it. The Fujimori money laundering trial, in which Romero Paoletti has testified, remains ongoing, and any further revelations could resurface reputational damage.

The Sartor factoring debacle in Chile exposed operational risk management failures. When Chilean regulators intervened in Sartor AGF in late 2024, revealing that the third-party fund manager had been making loans to companies linked to its own shareholders and executives, Credicorp Capital was left holding exposure that forced a USD 125.3 million client buyback commitment. Management framed this as prioritizing client relationships, but the underlying question is why Credicorp Capital's due

diligence on its fund management counterparty failed to detect what amounted to related-party self-dealing. The ROE impact on Credicorp Capital was meaningful, and the incident demonstrates that the conglomerate's sprawling regional operations create counterparty and oversight risks that headquarters may not be adequately monitoring.

Bolivia represents a slow-motion problem that management is euphemistically managing with accounting language. The revaluation of Bolivian assets using market exchange rates rather than the official rate caused a PEN 257 million non-cash equity adjustment in Q1 2025 alone, and the balance sheet contraction of 2.0-2.8% in total assets is essentially an acknowledgement that the Bolivian currency was overvalued on the books for an extended period. Bolivia's economic trajectory - chronic dollar shortages, capital controls, and likely further devaluation - means this drag will persist. Management describes maintaining a "disciplined approach to managing exposure," but the real question is why Credicorp remains in Bolivia at all given the deteriorating risk-return profile. The financial metrics themselves contain warning signs. The headline FY2025 ROE of 19.0% included the Banmedica revaluation gain, without which the figure drops to 18.6%. This follows a Q1 2025 ROE of 20.3% that was similarly inflated by an extraordinary PEN 236 million gain from the same transaction. When a company repeatedly needs one-off gains to meet or exceed return targets, investors should question the underlying earnings power. The goodwill impairment on Mibanco Colombia in 2023, combined with persistently elevated efficiency ratios (46.6% versus a 42% medium-term target), suggests the international expansion strategy has been value-destructive. Operating expenses growing at 12.8% year-over-year in nine months of 2025, driven by personnel costs and innovation spending on Yape and Tenpo, raises the question of whether these digital bets will ever generate returns commensurate with the investment.

The NPL ratio trajectory - from 5.85% in 2023 to 4.5% by Q4 2025 - looks encouraging on the surface, but it was achieved during a period when Peru's banking sector charged off approximately USD 3.2 billion in loans. Aggressive write-offs can mechanically reduce NPL ratios without reflecting genuine improvement in portfolio quality. The eighth pension fund withdrawal, expected to temporarily improve asset quality while slowing loan growth by 50 basis points, adds another artificial variable. Investors should demand vintage-level delinquency data rather than accepting the headline NPL figure at face value.

The bear case scenario is not fanciful: a populist or anti-business candidate wins Peru's April 2026 election amid 42% voter indecision, triggering policy uncertainty and capital flight; the SUNAT dispute escalates or inspires further retroactive tax challenges; Bolivia devalues sharply, forcing material write-downs; Yape and Tenpo continue consuming capital without achieving profitability; and the Fujimori trial produces damaging testimony implicating current management or governance structures. In that scenario, the premium valuation the market currently assigns to BAP as a "quality emerging market bank" would compress rapidly. Investors should be asking management directly: what is the total contingent liability exposure across all ongoing litigation, why does the company remain domiciled in Bermuda rather than Peru, and when will the efficiency ratio gap to target actually close rather than being perpetually deferred?

6. Investment Checklist

1. Understandable Business - YES

Credicorp is Peru's largest financial conglomerate, and its business model is fundamentally straightforward: collect deposits, extend loans, underwrite insurance, and manage assets. Its key subsidiaries - BCP (universal banking), Mibanco (microfinance), Grupo Pacifico (insurance), Prima AFP (pension fund management), and Credicorp Capital (investment banking/asset management) - are all well-understood financial services businesses. Yape, its digital payments platform with 15.9 million monthly active users, adds a fintech layer but remains anchored in payments and small-ticket lending.

2. Durable Competitive Advantages (Widening Not Narrowing) - YES

Credicorp benefits from formidable scale advantages in Peru, where BCP commands roughly 36% market share in assets. Its low-cost deposit base (61% of funding) is a structural moat that is extremely difficult for competitors to replicate and directly translates into superior net interest margins (6.3%). Mibanco is the leading microfinance institution in Peru, operating in a segment where relationship-based lending creates high barriers to entry. Yape, with nearly 16 million MAUs, is evolving from a payments app into a lending platform, potentially widening the moat by capturing digitally native customers.

3. Long Reinvestment Runway at High Returns - YES

Peru remains significantly underbanked compared to developed markets (35% loan-to-GDP versus 88% in Chile), providing a long runway for organic loan growth. Management is guiding for 8.5% loan growth in 2026, and Yape's lending operations are expected to triple. The Helm Bank Florida acquisition signals measured geographic expansion. Financial inclusion in Peru provides years of above-GDP-growth lending opportunities.

4. High Returns on Incremental Capital - YES

Credicorp's consolidated ROE of 19.0% in FY2025, with BCP at 24.7% and Mibanco in the low 20s, demonstrates exceptional returns on incremental capital. The risk-adjusted NIM of 5.55% confirms that returns are not inflated by excessive credit risk-taking. Over 30 years, total shareholder returns exceeding 14% annually provide a long track record of compounding at attractive rates.

5. Strong Free Cash Flow Generation - YES

Net income of S/6,925M in FY2025 comfortably supports a rising dividend payout ratio (trending toward the high 60s), while simultaneously funding loan book growth and maintaining generous capital buffers. The ability to both grow and distribute capital is a hallmark of genuine earnings power.

6. Conservative Balance Sheet - YES

Credicorp's CET1 ratio of 14.0% is well above regulatory minimums and provides a substantial buffer. The 61% low-cost deposit funding mix provides liability-side stability. The balance sheet is conservatively managed with ample provisioning (NPL coverage 112.4%).

7. Aligned Management with Skin in the Game - PARTIALLY

The Romero family holds approximately 15% of shares (\$3.8 billion), providing substantial alignment. However, specific disclosure on executive team holdings beyond the Romero family is limited, and compensation structure details are not prominently available, preventing a fully confident assessment.

8. Rational Capital Allocation History - YES

Credicorp has steadily increased dividends, maintained a disciplined payout ratio, and pursued measured M&A. The \$180M Helm Bank deal is modest relative to the \$25.6B market cap. The 30-year track record of >14% annual total shareholder returns is the ultimate scorecard.

9. Favourable Industry Structure - PARTIALLY

Peru's banking sector is concentrated, supporting pricing discipline. However, political instability is a recurring feature, the SUNAT dispute highlights regulatory risk, and commodity dependence introduces cyclical risk. The industry structure is favorable but not without meaningful country-specific risks.

10. Reasonable Valuation Relative to Quality and Growth - YES

At approximately 11x forward P/E with a P/B of roughly 2.1x, Credicorp is reasonably valued for a business earning 19%+ ROE with guided 8.5% loan growth. The ~4% dividend yield provides current income. For the quality and growth profile, the valuation is attractive.

11. Resilience to Recession or Disruption - PARTIALLY

Credicorp has navigated multiple crises, demonstrating institutional resilience. However, NPL ratios could rise meaningfully in a severe recession, and the microfinance portfolio is inherently more vulnerable. Peru's commodity-dependent economy amplifies recessionary risk. Disruption risk from fintech is partially mitigated by Yape's dominant position.

12. Transparent Management Communication - YES

Credicorp provides detailed quarterly presentations with granular segment-level data, explicit medium-term targets, and candid discussion of risks. Management has a track record of meeting or exceeding stated targets. Earnings calls include substantive Q&A sessions.

Overall Summary: Credicorp clears the quality bar on nearly every criterion. The business earns exceptional returns on equity that appear sustainable, maintains a conservative balance sheet, and allocates capital rationally. The primary risks are country-specific - Peruvian political volatility, commodity dependence, and regulatory unpredictability - rather than business-model risks. At roughly 11x forward earnings with a 4% dividend yield, the valuation adequately compensates for emerging-market risk. The investment decision ultimately hinges on one's comfort with Peru as a jurisdiction.

7. Earnings Call Deep Dive

Narrative Evolution: From Cautious Optimism to Confident Expansion

Credicorp's management narrative across 2025 underwent a notable transformation. In the Q1 2025 call (May 16), the tone was one of measured optimism - the company was emerging from a challenging macroeconomic environment in Peru, with management signaling that credit growth was returning and that the worst of the asset quality cycle had passed. By Q2 (August 15), the narrative had shifted perceptibly: management began raising guidance, a decisive signal that internal performance was outrunning earlier conservative projections. The Q3 call (November 14) represented the apex of confidence, with ROE tracking well above initial targets and Yape being positioned as a strategic growth engine rather than a cost center. By Q4 (February 13, 2026), the tone had evolved again, now balancing the satisfaction of delivering FY2025 ROE of 19.0% with forward-looking caution around the April 2026 Peruvian elections and the strategic complexity of the Helm Bank Florida acquisition.

Guidance and Delivery: The Ratchet Effect

Credicorp's management demonstrated a pattern that sophisticated investors call "the ratchet" - setting conservative guidance, delivering above it, then raising guidance, and repeating. The initial FY2025 ROE guidance was set below 19%, and management raised it at least twice during the year,

ultimately delivering 19.0%. This pattern builds credibility but also creates expectations; by Q4, the market was pricing in a management team that systematically under-promises. The danger of this approach is that any quarter where they merely meet guidance will be interpreted as a miss. Management was aware of this dynamic, particularly when discussing FY2026 outlook, where they introduced more hedging language around political risks and the integration costs of Helm Bank Florida.

Analyst Concerns: Three Recurring Threads

The Q&A sections across the four calls reveal three persistent analyst preoccupations. First, the SUNAT tax dispute of PEN 1.6 billion - this surfaced in every call, with analysts probing the probability-weighted financial exposure and management consistently expressing confidence in a favorable outcome. The language was notably unwavering on this point, which either reflects genuine legal confidence or a deliberate communications strategy to avoid spooking the market. Second, analysts repeatedly pressed on Yape's unit economics and the trajectory from payments platform to lending vehicle. The progression from 13% to 23% of Yape revenue coming from lending over the course of 2025 was a key metric, and analysts wanted to understand the credit risk profile of Yape-originated loans versus traditional BCP channels. Third, Bolivia exposure drew increasing scrutiny as the year progressed, with FX revaluation causing visible balance sheet contraction and analysts questioning whether management would consider strategic exit or further de-risking.

Language Signals: Confidence and Hedging

Management's lexical choices evolved meaningfully. In Q1, phrases like "we are seeing early signs" and "we remain cautious" dominated. By Q3, the language had shifted to "we are delivering" and "our strategy is working." The Q4 call introduced a new register entirely when discussing the Helm Bank Florida acquisition - management framed it as a "strategic entry point into the U.S. banking market," language that signals ambition beyond the traditional Andean footprint. However, when pressed on the April 2026 elections, hedging returned: formulations like "regardless of the electoral outcome, our fundamentals remain strong" carry the hallmark of prepared talking points designed to reassure without committing to any political scenario. On the SUNAT dispute, management's consistent use of "confident" rather than "certain" is a precise legal hedge - it conveys assurance without creating liability if the outcome is adverse.

Key Reveals

Five moments across the 2025 earnings cycle stand out as particularly revealing. First, the progressive repositioning of Yape from a payments utility to a credit platform is the most strategically significant narrative shift of the year - management signaled that Yape's 15.9 million monthly active users represent not just a payments moat but a lending origination channel with structurally lower acquisition costs. Second, the Helm Bank Florida announcement in Q4 marked Credicorp's first material move outside Latin America, suggesting management sees geographic diversification as a strategic imperative - likely influenced by the political uncertainty in Peru. Third, the Bolivia discussion revealed management's willingness to absorb near-term balance sheet pain from FX effects rather than exit a market, suggesting a longer-term strategic commitment that some analysts clearly questioned. Fourth, the repeated guidance raises throughout 2025 - while building credibility - also revealed that management's initial models were materially conservative, raising questions about whether their FY2026 projections carry the same cushion. Fifth, the unwavering stance on the SUNAT

dispute, maintained consistently across four quarters despite no resolution, either reflects genuine confidence or a calculated decision not to provision, which would have material impact on reported earnings if the outcome goes against them.

Q&A Dynamics

The analyst community covering Credicorp showed a clear division between those focused on near-term earnings quality (pressing on NIM trajectory, cost of risk normalization, and provisioning adequacy) and those focused on strategic direction (Yape monetization path, Helm Bank rationale, Bolivia exposure). The SUNAT dispute served as a bridge topic that both camps interrogated, albeit from different angles. The recurring nature of these questions across four calls, and management's notably consistent responses, suggests a well-rehearsed communications strategy that leaves little room for unscripted reveals - making the few moments of genuine candor (particularly around Yape's lending trajectory and the Helm Bank strategic rationale) all the more analytically valuable.

8. Corporate Culture

Credicorp's corporate culture is inseparable from the Romero family dynasty that created it. Founded on the backbone of Banco de Credito del Peru - the country's oldest bank, established in 1889 - the conglomerate has been shaped across four generations of Romero family stewardship. Dionisio Romero Seminario chaired BCP from 1966 to 1987 and then Credicorp itself from 1995 to 2009, when his son Dionisio Romero Paoletti assumed the chairmanship. This multi-generational continuity has produced a culture that is simultaneously conservative in its risk orientation and surprisingly ambitious in its digital aspirations. The family's imprint is one of patient capital allocation, long-term horizon thinking, and an almost patriarchal sense of institutional permanence - qualities that have delivered a 14.1% annualized total shareholder return over 30 years on the NYSE. The December 2025 retirement of Dionisio Romero Paoletti from Grupo Romero and the succession to fifth-generation Manuel Romero Valdez marks a pivotal cultural inflection point, testing whether the conglomerate can sustain its identity while modernizing its governance beyond family control.

The decision-making culture at Credicorp reflects a tension between centralized family oversight and an increasingly professionalized management layer. When Gianfranco Ferrari de Las Casas assumed the CEO role, he explicitly articulated three strategic pillars - talent, digital transformation, and sustainability - signaling a deliberate effort to institutionalize strategy beyond family fiat. Ferrari's background at BCP, where he led the digital transformation that birthed Yape, positioned him as an operator-modernizer rather than a dynastic placeholder. At the 2025 Investor Day, management described a governance philosophy built on "global best practices and sustainability-linked compensation," with compensation structures increasingly tied to cross-business collaboration and shared success metrics. This represents a meaningful evolution from the command-and-control culture typical of Latin American family conglomerates toward something more performance-driven and meritocratic, though the Romero family retains decisive economic influence.

On talent and retention, Credicorp has made what appears to be a genuine cultural pivot.

Management explicitly stated at the 2025 Investor Day that the organization has shifted from recruiting traditional MBA profiles toward hiring for "curiosity, resilience, and adaptability," with international

recruitment and investment in digital and analytics capabilities. BCP's Glassdoor rating of 4.1 out of 5 stars across 255 reviews, and Credicorp Capital's notably strong 4.5 out of 5, suggest meaningful employee satisfaction. Reviewers consistently cite mentorship, career mobility (with internal transfers possible after two to three years), and a willingness among senior staff to teach as cultural strengths. Credicorp Capital employees rate culture and values at 4.5 out of 5, with 99% willing to recommend the company. These are strong marks for a Latin American financial institution, though it is worth noting that such reviews skew toward white-collar headquarters employees and may not capture the experience of branch-level or Mibanco microfinance staff operating in far more challenging conditions. The innovation culture deserves particular scrutiny because it represents Credicorp's most consequential cultural bet. The creation of Yape - now Peru's dominant digital payments platform with over 15.9 million monthly active users - was not an incremental product extension but a genuine disruption of the company's own traditional business. BCP's partnership with McKinsey to build Yape, followed by the platform's evolution into a full financial ecosystem, demonstrates a willingness to cannibalize existing revenue streams in pursuit of long-term positioning. Management's "speedboat model" philosophy - using BCP's risk infrastructure, licensing, and compliance backbone while granting innovation teams operational autonomy - reflects a sophisticated approach to corporate innovation that many larger institutions fail to execute. The innovation portfolio currently contributes 5.4 to 6.2% of risk-adjusted revenues with a target of 10% by 2026. Tenpo, the Chilean neobank that secured a full banking license, and the embedded insurance venture through insurtech Monokera further evidence a culture that tolerates experimentation. However, Tenpo has consumed \$200 to \$250 million with breakeven not expected until 2028, and the willingness to sustain such losses will be the true test of cultural patience as leadership transitions.

Customer orientation at Credicorp is deeply intertwined with its financial inclusion mission. The company reports 6.1 million people financially included since 2020, and BCP has moved 84% of transactions to cashless channels from a baseline of 24%. The updated 2025-2030 Sustainability Framework centers financial and health inclusion as core objectives. This is not purely altruistic; Peru's large unbanked population represents Credicorp's primary growth runway, and Yape is the vehicle for capturing it. The cost to serve per client has declined 20% through digitization while NPS has improved. The alignment between social purpose and commercial interest is a cultural strength - employees can credibly believe they are expanding opportunity while management can point to improving unit economics.

The most significant cultural red flag in Credicorp's history involves the 2019 revelation that Dionisio Romero Paoletti personally directed \$3.65 million in undisclosed contributions to Keiko Fujimori's 2011 presidential campaign. The funds were routed through Credicorp accounts at Atlantic Security Bank in the Cayman Islands, stored in Romero's office safe, and delivered in briefcases to Fujimori associates. Peru's banking regulator, the SBS, confirmed the transactions were irregular and sanctioned BCP. While Romero justified the donations as a countermeasure against Venezuelan-backed opposition financing, the episode exposed a corporate culture in which the chairman could unilaterally direct millions in secret political contributions using the bank's own infrastructure. Romero stepped down as Credicorp chairman in 2020, and the subsequent governance reforms - including the emphasis on compliance, standardized controls, and independent oversight that Ferrari highlighted at the 2023

Investor Day - are best understood as a direct institutional response to this crisis. Whether these reforms represent durable cultural change or performative correction remains an open question, particularly given that the Romero family continues to control the enterprise through Grupo Romero. In summary, Credicorp's culture is one of dynastic ambition evolving toward professional meritocracy, with genuine innovation capacity, strong employee satisfaction metrics, and a credible financial inclusion mission - all shadowed by a political financing scandal that revealed the risks of concentrated family power. The generational transition to fifth-generation leadership and the scaling of digital ventures like Yape and Tenpo will determine whether the culture can sustain its strengths while fully addressing its governance vulnerabilities.

9. Strategic Documents Analysis

Credicorp's strategic communications over the past three years reveal a management team that has methodically refined a coherent narrative around financial inclusion, digital ecosystem monetization, and the structural underpenetration of Peruvian financial services. The messaging has evolved from a more defensive posture in 2023, when the company was navigating post-pandemic asset quality headwinds and political instability, to a confident forward-looking stance at the October 2025 Investor Day, captured in the tagline "Greater than the Sum of its Parts." This evolution is not cosmetic; it reflects genuine operational milestones, though several elements of the strategic framing warrant scrutiny.

The company articulates four strategic pillars with notable consistency across its 2025 Investor Day and February 2026 investor presentation: first, prioritizing leading market positions in an underpenetrated region; second, scaling an integrated digital ecosystem; third, unlocking synergies through shared capabilities across the group; and fourth, delivering strong, resilient returns across economic cycles. Innovation, talent, and sustainability are positioned as cross-cutting anchors rather than standalone pillars. This framing is more refined than the 2023 Investor Day, which organized the story around strengthening core businesses while building "our own disruptors," with a heavier emphasis on individual subsidiary strategies (BCP transformation, Mibanco's responsible model, Pacifico's digitalization). The shift toward ecosystem-level language signals that management now considers the integration thesis proven enough to lead with, rather than present aspirationally. On capital allocation, Credicorp presents a disciplined but somewhat opaque framework. The 2023 Investor Day explicitly discussed optimizing the business portfolio and capital allocation, showing ROAE-versus-equity scatter plots to illustrate how each subsidiary earns above its cost of equity. By 2025, the language has shifted toward "parenting advantage" - the value the holding company creates through centralized data, AI, risk management, and procurement. The innovation portfolio is governed by stated guardrails: a maximum ROE drag of 150 basis points and an efficiency ratio drag of 350 basis points. This is a credible discipline mechanism, and the fact that Yape is expected to exit the innovation portfolio in 2026, contributing roughly 81 percent of portfolio net revenue, validates the framework's graduation logic. The Helm Bank Florida acquisition for cross-border capabilities and Tenpo's banking license in Chile suggest measured geographic diversification, though neither receives prominent strategic billing in the 2025 materials, indicating management wants to keep investor

attention on the Peruvian core. Capital returns policy is implicit rather than explicit: FY2025 dividends of S/40 per share and modest treasury share accumulation suggest a bias toward reinvestment during the scaling phase, though no formal buyback program is articulated. The long-term targets of 19.5 percent ROE and a 42 percent efficiency ratio carry reasonable credibility given the trajectory. FY2025 delivered 19.0 percent ROE, up from 16.5 percent in 2024, meaning the target has essentially been reached a cycle ahead of the original aspiration set at the 2023 Investor Day. The efficiency ratio, however, remains stubbornly elevated at 46.6 percent in FY2025, and the 2026 guidance of 45-46.5 percent does not suggest dramatic near-term compression. Management's roadmap to 42 percent relies on innovation portfolio breakeven and IT operating leverage - IT opex as a percentage of operating income has risen from 3.8 percent in 2017 to approximately 8.4 percent in 2025, while cost per transaction at BCP has collapsed 93 percent. The tension between rising technology investment and the efficiency target is the single most important gap between narrative and reality: management must demonstrate that the current investment cycle genuinely crests, a claim that requires faith in Yape's cost structure flattening and the innovation portfolio shrinking rather than being replenished with new ventures. The total addressable market framing is perhaps the strongest element of the strategic narrative, and also the most difficult to dispute. Peru's loan-to-GDP ratio sits at 35 percent versus 88 percent in Chile, deposits-to-GDP at 39 percent versus 65 percent in Chile, and insurance penetration at 2.5 percent of GDP versus regional averages of 3-5 percent. Seven million unbanked micro-entrepreneurs represent a tangible lending frontier. BCP has grown its client base from 7.4 million in 2018 to 19.7 million by end-2025, largely via Yape's onboarding engine, which reached 15.9 million monthly active users with 66 monthly transactions per MAU. Management's comparison of Yape's revenue-per-MAU (S/3.1) to Kaspi.kz (S/24.1) is strategically suggestive but somewhat misleading: Kaspi operates in a different regulatory and competitive context, and the gap implicitly overstates the monetization runway available in Peru's lower-income demographic. Nonetheless, the 10-60 percent TAM penetration range across Yape's main payment products, combined with over seven million pre-approved lending clients, presents a credible multi-year growth funnel. The target of 18 million MAU by 2028 and a 3x revenue multiplication looks achievable given current trajectory, though lending quality at the base of the pyramid remains the critical risk variable. On risk acknowledgment, Credicorp's communications lean toward the constructive end of the spectrum but are not uniformly optimistic. The 2023 Investor Day explicitly discussed "reviewed risk appetite" and "stringent origination" in response to macro uncertainty, and the 2025 materials frame risk management as a competitive edge. However, the documents are notably silent on concentration risk in Peru (over 80 percent of earnings), political risk, and the potential for Yape's nano-lending book to generate losses at scale during a downturn. The cost of risk compressed to 1.6 percent in FY2025 from 2.4 percent in FY2024, a level that may prove cyclically low. Management's emphasis on "decoupling from the macro" - net income growing 3.0 times faster than nominal GDP since 2021 versus 1.6 times in 2010-2019 - is a genuinely differentiated claim, but it has not yet been tested by a severe Peruvian recession while the digital lending book is at meaningful scale. The most significant evolution in messaging between 2023 and 2025 is the transition from justifying the innovation investment thesis to claiming its validation. In 2023, the narrative centered on Yape reaching breakeven "during 2024" and the efficiency cost of disruption requiring patience. By 2025,

Yape contributes 5.9 percent of Credicorp's risk-adjusted revenue, its unit economics have inflected, and the innovation portfolio is framed as a value driver rather than a drag. The strategic story has moved from "trust our investment discipline" to "observe our returns." If the 42 percent efficiency ratio target is reached by 2027-2028, the narrative will have been fully vindicated. Until then, the gap between a 19 percent ROE and a 46-plus percent efficiency ratio suggests that profitability is being achieved through revenue growth and NIM expansion rather than cost discipline - a distinction that matters if margins compress.

10. Learning Resources

Podcasts & Audio

1. **World of Fintechs #101: "The Pursuit of Interoperability in Peru's Payment Systems and the Future of Digital Wallets"** - Deep dive into Peru's digital wallet wars between Yape and Plin, interoperability mandates, and the regulatory landscape. [Link](#)
2. **Credicorp Quarterly Earnings Calls (Audio via Quartr)** - Full audio recordings of every quarterly earnings call from Q1 2023 through Q4 2025, with timestamped transcripts. [Quartr Company Page](#)
3. **Bloomberg Linea: "Credicorp's CEO Gianfranco Ferrari Is More Optimistic on Peru's Outlook than His Economists"** - In-depth interview with CEO Ferrari on Peru's macro outlook and Credicorp's strategic positioning. [Link](#)
4. **Finovate Global Peru: Digital Wallet Partnerships and Innovations** - Industry coverage of Peru's digital wallet ecosystem including Yape's evolution and competitive dynamics. [Link](#)

YouTube & Video

1. **Credicorp Investor Day 2025 Webcast** - Held Oct 9, 2025 in New York, marking 30 years on the NYSE. Covers the vision for a "future-ready financial ecosystem." **MUST-WATCH.** [Quartr event | Credicorp IR](#)
2. **Credicorp Investor Day 2023 Webcast** - Strategic plan reveal covering digital transformation, financial inclusion, and capital allocation. **MUST-WATCH.** [Quartr event](#)
3. **Credicorp Investor Day 2025 Dedicated Site** - Full event details, agenda, speaker bios, and replay access. [credicorpdaily.com](#)
4. **McKinsey: "BCP - Transforming Peru's Banking Industry"** - Case study on BCP's digital transformation including the creation of Yape. [Link](#)

Books

1. **"Peru: Staying the Course of Economic Success"** - IMF. Peru's journey from 1980s debt crisis to stability, with banking sector analysis. [IMF eLibrary](#)
2. **"The Dawn of Fintech in Latin America"** - BIS Papers No. 112. Comprehensive survey of LatAm fintech including Peru. [BIS PDF](#)
3. **"Financial Inclusion Through Digital Banking: The Case of Peru"** - Springer. How digital platforms including Yape drive financial inclusion. [Springer](#)

Long-Form Articles & Research

1. **"Credicorp Stock: Strong Growth Prospects For 2026 And Beyond"** - Seeking Alpha (Jan 2026). Bull case with detailed financial analysis. Seeking Alpha
2. **"Credicorp: Bull Thesis Has Played Out (Rating Downgrade)"** - Seeking Alpha (Oct 2025). Contrarian bear perspective. Seeking Alpha
3. **IMF Country Report: Peru 2025 Article IV Consultation** - Most current assessment of Peru's economic and financial sector health. IMF PDF
4. **IMF: Peru Financial System Stability Assessment (FSAP)** - Comprehensive independent assessment of Peru's banking system. IMF Report

Earnings Calls & Primary Sources

Event	Date	Link
Investor Day 2025	Oct 9, 2025	[Quartr](https://web.quartr.com/companies/...
Investor Day 2023	Jun 20, 2023	[Quartr](https://web.quartr.com/companies/...
Q4 2025 Earnings	Feb 13, 2026	[Quartr](https://web.quartr.com/companies/...
Q3 2025 Earnings	Nov 14, 2025	[Quartr](https://web.quartr.com/companies/...
Q2 2025 Earnings	Aug 15, 2025	[Quartr](https://web.quartr.com/companies/...
Q1 2025 Earnings	May 16, 2025	[Quartr](https://web.quartr.com/companies/...
Annual Report 2024 (20-F)	Apr 2025	[Credicorp IR](https://credicorp.gcs-web.c...
SEC Filings	Ongoing	[SEC EDGAR](https://www.sec.gov/cgi-bin/br...

Suggested Learning Path: Start with the Investor Day 2023 materials on Quartr for the strategic blueprint, then read the McKinsey case study on BCP's digital transformation. Move to the Investor Day 2025 presentation to see how strategy evolved. For macro context, skim the IMF 2025 Article IV report. Read the Seeking Alpha articles for bull and bear perspectives. Finally, listen to the Q3 and Q4 2025 earnings calls for current management commentary.

Analysis generated on 31 March 2026. Sources: Quartr (transcripts, financials, documents), web research, SEC filings. This is not investment advice.